

FINANCIAL STATEMENT ANALYSIS & FORECASTING

Audit-Style Working Paper

Working paper ref	Prepared by	Date	Reviewed by	Version
FSA-WP-01	Tameemiya	14 Sep 2026	N/A - portfolio	1.0

Context: Synthetic portfolio simulation only. This is not a statutory audit engagement or assurance report. Historical figures are based on the supplied synthetic dataset; forecasts and scenarios are assumption-driven estimates rather than predictions.

OBJECTIVE

To analyse multi-year financial statements, calculate historical movements and financial ratios, assess profitability, liquidity, leverage and working-capital trends, and produce assumption-driven forecasts and scenarios while preserving the distinction between calculated analysis, review observations, supporting evidence and professional judgement.

SOURCE DATA

One synthetic financial statements CSV covering 2023-2025. Required fields include year, revenue, cost_of_sales, operating_expenses, interest_expense, tax_expense, cash, trade_receivables, inventory, current_assets, property_plant_equipment, total_assets, trade_payables, current_liabilities, long_term_debt, total_liabilities, equity, operating_cash_flow and capital_expenditure. The application does not independently verify source completeness, supporting documentation or ledger balances.

PROCEDURE

1) Validate required fields and convert financial values to numeric form. 2) Calculate gross profit, operating profit, net profit, working capital and free cash flow. 3) Perform year-on-year and common-size analysis. 4) Calculate profitability, liquidity, leverage, return and working-capital ratios. 5) Apply configurable analytical review thresholds and generate review prompts. 6) Build forecasts covering one to five years from explicit operating, working-capital, financing and capital expenditure assumptions. 7) Compare Base, Upside and Downside scenarios and perform sensitivity testing. 8) Check forecast and scenario balance sheets for arithmetic consistency and export the analysis and review schedules to Excel.

EXCEPTIONS / REVIEW OBSERVATIONS

Ref	Observation	Why it matters / risk	Evidence / follow-up needed	Status
FSA-01	Revenue increased by 16.6% from £1.480m in 2024 to £1.725m in 2025.	Material revenue growth affects profit, working capital and forecast credibility; it is not, by itself,	Review sales by customer and product; inspect price and volume movements, major contracts and the order book, unusual transactions and	Open - evidence required

		evidence of improved performance.	period cut-off.	
FSA-02	Inventory days increased from approximately 62.1 days in 2024 to 70.2 days in 2025.	Longer holding periods absorb working capital and may increase exposure to slow-moving or obsolete inventory; the ratio alone does not prove impairment.	Inspect inventory ageing, purchasing patterns, subsequent sales, write-downs and management explanations for the movement.	Open - review
FSA-03	Debt-to-equity increased from approximately 0.84x to 0.94x; 2025 interest coverage is approximately 12.32x.	Leverage increased even though the default analytical benchmark is not breached. Illustrative thresholds cannot establish financing risk on their own.	Inspect loan agreements, the maturity profile, repayment schedule, interest terms, covenants and available facilities.	Monitor - contextual review
FSA-04	Forecast, scenario and sensitivity outputs change materially when growth, margin or working-capital assumptions are changed.	A mathematically consistent forecast can still be unreliable if its assumptions are unsupported. Base, Upside and Downside labels do not assign probabilities.	Corroborate assumptions against budgets, the sales pipeline and order book, pricing, supplier costs, payroll and capital expenditure plans, customer terms and cash-flow forecasts.	Assumption evidence required

CONCLUSION

For the supplied three-year synthetic dataset, 2025 revenue is £1,725,000, net profit is £256,000, operating margin is 20.0% and free cash flow is £133,000. Revenue increased by 16.6% from 2024, while inventory days increased to approximately 70.2 days. The application supports historical analysis, KPI review, assumption-driven forecasting, scenario and sensitivity analysis, management review and Excel reporting. Forecast and scenario balance-sheet checks test arithmetic consistency, but they do not validate source completeness or the reasonableness of assumptions. Further evidence is required before concluding on causes, sustainability, liquidity, covenant compliance, impairment or future performance.

RECRUITER LINK

Financial statements should be analysed together, not in isolation. Forecasts depend on assumptions and should not be treated as predictions. Analytical flags support investigation but do not replace evidence or professional judgement.

KEY LIMITATIONS / HUMAN JUDGEMENT

Three-year synthetic dataset only; no independent source verification or completeness testing; simplified ratio and cash-flow modelling; forecast assumptions are not independently validated; no detailed seasonality, inflation, foreign exchange, tax, covenant or financing model; scenarios are not probability-weighted; balance-sheet checks test arithmetic consistency only; no external evidence, management sign-off or audit conclusion.